77. As to Plaintiff, the PDX sales illustration presented to her on or around March 11, 2019 (a "basic illustration" under the Insurance Code) indicates that her policy account value would grow by $418,141 in year 20 (i.e., the Net Accumulated Value), when she would be sixty years old, based on the assumed interest rate of 7.1%. *See* **Exhibit 2**, at 69, 78. By contrast, an illustration as of April 15, 2021 (an "in-force illustration" under the Insurance Code) indicates that the policy account values will grow by $364,351 in year 20 based on an assumed credited rate of 6.66%. *See* **Exhibit 7,** at 279 (attached hereto) at In-force Non-Guaranteed Policy Values: Ledger. Thus, while the disclosed credited rate fell from 7.1% to 6.66%, a decrease of 6.2%, the projected account values declined by 13% as a result of the undisclosed leverage and risks attendant to the PDX Policy.

4. PacLife Uniformly Misrepresented That the PDX Policies Were Immune from Market Losses

78. PacLife described the PDX Policies as affording Policyowners "MARKET LOSS PREVENTION," which immunizes policy account values "from market-based losses" and permits reductions in value "only by policy charges and any policy loans, withdrawals, and other distributions you take." **Exhibit 1**. For the reasons explained above, this description is at best a false and misleading half-truth because the Performance Factor and excessive policy charges secretly reintroduce market-based risk to the account values and policy performance.

5. PacLife Knew That the PDX Policies Would Not Perform as Illustrated Because They Are Based on Assumptions of Unsustainable Option Profits

79. The primary factor driving the PDX Illustrations is PacLife's assumption that the company will earn a 50% profit from the call options that it buys with the PDX policyowner premiums every year for the next 30 to 50 years or longer (depending on the age and life expectancy of the insured). Moreover, PacLife essentially doubles down on this bet, which it